The process of fiscal consolidation under FRBMA has been continuous and essentially an incremental one. Some of the important fiscal measures[43] that are being implemented by the government are as given below:

(i) reducing the peak rates of custom duties;

(ii) rectifying anomalies like ***inverted duty structure;***

(iii) rationalising excise duties with a movement towards a ***medium CENVAT rate;***

(iv) revisiting the tax ***exemptions;***

(v) relying on voluntary tax compliance through taxpayer ***facilitation;***

(vi) introduction of State-level VAT for achieving a ***non-cascading, self-enforcing,*** and ***harmonised*** commodity tax regime;

(vii) increasing productivity of expenditure through an ***outcome budget*** framework (which seeks to translate outlays into better outcomes through monitorable performance indicators);

(viii) innovative financing mechanism like creation of Special Purpose Vehicle (SPV) for infrastructure projects; and

(ix) states have also joined the process of fiscal consolidation in line with the Twelfth Finance Commission's (TFC) recommendations and are complementing the efforts of the Central Government.

In 2006–07, in case of the ***Central government,*** proposed reduction in revenue and fiscal deficits were put at 0.6 per cent and 0.5 per cent, respectively (higher than the FRBMA Rules), though the reduction suffered in 2005–06 due to higher devolution to states by centre on account of the TFC recommedations.[44]

States also showed considerable improvement (in fact, even better then the central government). The fiscal deficit of the states declined by 1.6 per cent post FRBMA from 4.5 per cent in 2003–04 to 2.6 per cent in 2006–07 of their GDP. Revenue deficit, on an aggregate basis, was budgeted to get eliminated by 2006–07, two years ahead of the target. (***A strong incentive-based restructuring scheme of fiscal transfers to states suggested by the TFC appears to have succeeded***.)[45]